

TSUK continues to mitigate operational risks by integrating best practices in asset management, improving process safety, targeted capital expenditure and focused asset risk management. Additionally, TSUK is also progressing its government-supported EAF transition at Port Talbot, following an approved planning and environmental-impact framework and a phased construction and commissioning plan to stabilise operations during the shift.

TSN is mitigating risks through its structured decarbonisation program under the non-binding Joint Letter of Intent, executing phased DRP-EAF deployment, and strengthening current operations with environmental-compliance upgrades such as dust, noise, and odour-reduction measures to maintain continuity while transitioning.

Safety Risk

The steel industry operates in an environment where workforce health and safety remain critical priorities. Hazards are inherent to processes, and risks often stem from lapses in compliance with safety protocols, regulatory standards, or operational guidelines posing threats to business continuity. As companies expand geographically, the complexity intensifies with diverse, location-specific safety laws and requirements that demand rigorous adherence and proactive management.

Mitigation Strategies:

Tata Steel sustains its zero-harm ambition through clearly defined leadership accountability and embedded safety management systems across the organisation. Risk is mitigated through role-based and site-specific training programmes, supported by periodic safety inspections and risk-based audits. AI-enabled CCTV surveillance is deployed at prioritised high-risk locations and Safety Alert Command Centres identify these alerts, trigger actions and monitor faster closures. In parallel, digitised risk registers and structured risk mitigation methods such as HIRA, HAZOP, bow-tie and LoPA keep high-consequence scenarios in focus and verify the health of critical safeguards.

Focused approach on process safety and asset integrity protects the hazardous operations. During the year, early-warning alerts are introduced for critical parameters in LD Shops and Blast Furnaces. Pre-Startup Safety Review (PSSR) standard has been strengthened with structured

checklists and clear accountability. New guidelines for explosion-proof control rooms and flare-stack operations are implemented. Project Hazard Studies are digitally linked with PSSR to embed learnings and assure safe start-ups of new facilities.

Rigorous contractor governance manages risk through parity of protection via a redesigned Vendor Star Rating for cadence and transparency, a common PPE platform, and digitised sub-vendor onboarding process for traceability. Safety in logistics operations have improved through targeted traffic-management measures, paperless weighbridge processes and focused surveillance at vulnerable areas.

Emergency readiness, structured incident learning, and holistic well-being including the Employee Assistance Program and Mental Health First Aiders reinforce resilience, ensuring risks remain well-controlled and business continuity is sustained.

Community Risk

Tata Steel remains committed to enhancing community well-being, with a strong focus on improving the quality of life for vulnerable groups near its operations. The Company actively aligns resources to meet evolving societal expectations, recognising that failure to do so could impact reputation, social license to operate, and business continuity.

In the Netherlands, rising concerns around noise, dust, and emissions have intensified pressure to accelerate decarbonisation and implement impactful social programmes. Additionally, in Thailand there are risks due to potential environmental non-compliance and deteriorating structures, posing safety and legal concerns. Addressing these issues is critical to maintaining stakeholder trust, preventing protests, and ensuring uninterrupted operations.

Mitigation Strategies

Tata Steel continues to engage proactively with communities, with a focused emphasis on vulnerable and underserved groups, to respond to evolving social and developmental priorities. These engagements enable the Company to maintain an ongoing, contemporary understanding of community expectations, local realities, and emerging needs.

In India, the Company is further strengthening the Tata Steel Foundation (TSF) as a purpose-led institution with benchmark capabilities for designing and delivering strategic social impact programmes. TSF implements a portfolio of intervention models that collectively:

- (i) address development challenges aligned to both national imperatives and community priorities;
- (ii) are built on ambitious and well-defined theories of change;
- (iii) have demonstrated measurable, population-level outcomes; and
- (iv) are scalable, with initiatives being replicated across India and offering learning potential in global contexts.

During FY2025-26, TSF directly impacted over 6.9 million lives, with key outcomes including:

- › **Strengthened leadership and economic participation** by enabling 1,789 women to complete structured leadership programmes, with 878 placed in decision-making roles, while supporting 2,716 out-of-school children to re-enter formal education and connecting 22,000 persons with disabilities to assistive and inclusion-focused services.
- › **Health, Nutrition, and Well-being:** Improved community health outcomes by achieving a 94.3% redressal rate for high-risk pregnant women and children through early identification, referrals, and follow-up care, alongside continued focus on holistic well-being.
- › **Sustainable Livelihoods and Resource Security:** Enabled 144,973 households to adopt climate-resilient agricultural practices, strengthened water security through creation of 235 water storage capacities, and facilitated access to ₹4,213 crore of public entitlements via last-mile outreach and documentation.
- › **Community Development and Social Capital:** Enhanced social infrastructure and identity through completion of 750 community assets, engagement of 29,438 youth in grassroots sports, and documentation of 61 tribal intellectual properties to preserve and promote indigenous knowledge systems.

TSUK is mitigating community risks through a substantial support package for affected employees and local communities, including over £130 million in transition assistance and additional UK-Welsh Government funding to ease socio economic impacts of the Port Talbot transformation.

TSN is addressing community and health concerns by implementing dust, noise, and emissions reduction measures such as windbreaks, covering ore fields, and environmental upgrades under its decarbonisation and health program for the IJmuiden region. TSN has also signed the Dutch Government-backed non-binding Joint Letter of Intent (JLoI), which commits to improving the living environment around IJmuiden. TSN also has instituted a community outreach programme where local people are invited to come and visit the steel plant to actually see the site, understand the work being done and allay some of their concerns.

TSSTH prioritises efficient resource use and environmental management to minimise community impact, with ferrous scrap as its main fully recyclable raw material. It monitors emissions and air quality in compliance with Environmental Impact Assessment (EIA) and regulatory requirements, while applying water efficiency and a zero-discharge principle. These efforts are supported by training to enhance environmental awareness and waste management among employees and contractors, alongside proactive community engagement.

Supply Chain Risk

In FY2025-26, Tata Steel India efficiently managed one of the industry's most complex value chains, moving approximately 82 MT of raw materials and 22.6 MT of finished goods. Our robust, multi-site network, comprising 12 ports, 25 stockyards, and 37 Steel Processing Centres, underpinned this extensive operation. With planned capacity ramp-ups at Kalinganagar, the strategic importance and scale of our supply chain will continue to expand in FY2026-27 and beyond.

For coal & flux, Tata Steel India is heavily dependent on imports (~80% of its requirement is met through imports). Persistent Red Sea hostilities since late-2023 have driven widespread diversions around the Cape of Good Hope, typically adding 10–14 days on Asia–Europe lanes and elevating war-risk insurance premiums.

Continued conflicts and hostilities (Russia-Ukraine, Iran-US-Israel) have significantly increased transit times, insurance premiums, and fuel costs, impacting flux sourcing and finished good exports. Sometimes despite the war risk premium, vessel owners may not be willing to go to war risk area and hence placing a vessel becomes a challenge.

Further, the Freight Policy of Indian Railways (Busy Season Surcharge waiver) has become cost adverse impacting the supply chain spend. Additionally, there are intermittent disruptions in railways and ports due to myriad of reasons including accidents, regional strikes, cyclones, and unpredictable monsoons. These disruptions may impact quality and reliability of raw material supplies and also disrupt movement of finished goods. The continuous tariff wars and ever increasingly stringent statutory norms akin to CBAM are posing threat to steel sale & movement further.

Thus, supply chain faces a multi-faceted risk of business discontinuity due to disruption in infrastructure, geopolitical scenario, changing policies and statutory norms. Accordingly, mitigation strategies have been planned and are dynamically updated to cover all these aspects.

Supply-chain risks for TSN and TSUK stem from reliance on global sourcing, logistics and energy volatility, and trade-policy-driven import disruptions, with TSUK particularly exposed due to quota volatility. Whereas for TSTH, there is a potential supply chain risk for Silico Manganese due to vessel availability constraints and logistics disruptions related to the Middle East conflict, along with an increase in raw material costs driven by higher freight and logistics expenses.

Mitigation Strategies

Shipping & Ports: Tata Steel has long term partnership agreements with major ports like Dhamra and Paradip (KICTPL- Kalinga International Coal Terminal Private Ltd.) to de-risk import supply chain. Further, new supply chain route for flux is being developed through Salalah, Dibba, and Khanom ports. Alternate flux sourcing from Bhutan, Nagpur, Jaisalmer via railways is also in progress. The bunker and daily hire hedging strategies are helping to keep the shipping freight in control.

Strengthening Inland Logistics Infrastructure: The existing railroad infrastructure at TSK steel plant has been strengthened to meet logistics requirement for 8 MTPA plant. The upcoming Angul Sukinda Rail Link will augment the supply chain capabilities further. In addition, for the expansion of the Neelachal complex, a long product manufacturing site, work has commenced to secure crucial railway approval for the Baghuapal Rail Connectivity to the plant. Dedicated rake assets (112 in Nos) under GPWIS & SFTO schemes continue to operate and ease out the scarcity of rolling stocks.

Sustainability Initiatives: In FY2025-26, Tata Steel executed 39 biofuel voyages and 5 LNG fuelled vessels, representing ~16% of imported shipments. The alternative fuel (CNG/LNG/EV) based fleet has been continuously augmented with finished goods road transportation in India now operating approximately 623 such vehicles. The team is also working to ensure CBAM readiness for EU shipments (installation-level data pack, verification pathways, and commercial pass-through clauses).

Tata Steel Netherlands and Tata Steel UK are strengthening supply-chain resilience through supplier diversification, increased use of local and regional sourcing, and closer strategic partnerships with key vendors and customers.

For Tata Steel UK, supply-chain resilience is further supported by the UK Steel Strategy in force, which promotes domestic and regional sourcing, prioritises UK steel in public procurement, strengthens trade-remedy enforcement, and reduces reliance on volatile import flows.

TSTH has implemented contingency sourcing plans for Silico Manganese, maintained close monitoring of logistics and vessel availability, and strengthened supplier coordination to ensure supply continuity, while also managing cost pressures through ongoing freight and procurement optimisation.

Cyber and Information Security Risk

The Company's operations continue to significantly rely on IT and digital infrastructure, with sustained investments in digital transformation for critical and complex processes across its diverse operating footprint.

The accelerated digitisation of the value chain offers opportunities for efficiency and growth but also introduces risks associated with emerging technologies such as Artificial Intelligence (AI), Robotic Process Automation (RPA), and Machine Learning (ML). Generative AI, in particular, is reshaping customer engagement and operational decision-making globally. However, these integrations heighten exposure to cyber and privacy risks, regulatory non-compliance across multiple jurisdictions, inaccurate or biased data outputs, and potential system instability.

Safeguarding organisational data for confidentiality, integrity, and availability remains paramount under established data governance norms. The Digital Personal Data Protection Act, 2023, along with evolving international data privacy frameworks, enforces stringent requirements for data privacy and protection. Any deviation from IT and cybersecurity regulations could result in financial penalties and reputational harm. Adherence to defined privacy policies is therefore critical.

While technology platforms are maintained at current and supportable standards, proactive management of technology obsolescence is essential to mitigate cyber vulnerabilities and ensure business continuity across all operations.

Mitigation Strategies

The Company has established a robust and comprehensive cybersecurity framework grounded in globally recognised standards and leading practices, including ISO/IEC 27001:2022, with formal certifications.

Cybersecurity governance is operationalised through clearly defined roles, responsibilities, and accountability frameworks, supported by a robust maker-checker mechanism that ensures segregation of duties with effective oversight, independent validation, and assurance over the design and execution of security controls.

A layered security architecture, reinforced by continuous monitoring mechanisms ensures timely detection, escalation, and effective response to potential security incidents to protect critical systems and information assets. Security considerations are embedded early in the technology lifecycle through structured architecture and design assessments, ensuring that security requirements are incorporated during the planning and development of new digital initiatives. These controls are further strengthened through periodic security testing and independent assessments conducted from an attacker's perspective to identify and address potential vulnerabilities. Additionally, continuous oversight of cloud environments is maintained to identify configuration risks and ensure that appropriate security controls are consistently implemented and operating effectively.

An integrated IT and OT Security Operations Centre (SOC) provides near real time visibility into security events across enterprise and operational environments, enabling prompt identification of anomalies and immediate initiation of mitigation actions. Advanced monitoring technologies support continuous tracking of unusual behaviours and suspicious communication patterns, facilitating timely and effective threat detection. A 24x7x365 external attack surface management capability has been established to continuously identify internet facing vulnerabilities and assess potential exploit paths from an attacker's perspective, enabling proactive and timely mitigation of risks before they can be discovered or leveraged by threat actors. Advanced scanning and continuous monitoring tools further enhance the vulnerability management framework by enabling near real time identification of security gaps.

Threat intelligence and risk monitoring mechanisms help identify emerging cyber risks and support prioritised mitigation actions.

The adoption of AI introduces new data, security, and governance risks, which are mitigated through controlled environments, enhanced security controls, and ongoing oversight within the enterprise risk framework.

The Company has established comprehensive policies and governance mechanisms to ensure compliance with data protection and privacy requirements. Data governance frameworks ensure that organisational data is appropriately protected and managed throughout its lifecycle. With the increasing adoption of advanced digital technologies, including generative AI and agentic AI, the Company ensures that such technologies are deployed within secure and controlled environments to mitigate risks related to unintended exposure of sensitive information.

Periodic cybersecurity assessments, security audits and technology refresh initiatives are undertaken to strengthen cyber resilience and address risks associated with technology obsolescence. These cybersecurity practices are progressively being extended across Tata Steel Group Companies to strengthen enterprise-wide security maturity.

Through this governance, monitoring and continuous improvement mechanisms, the Company continues to enhance the resilience of its digital ecosystem and maintain reliability of its operations.

Commodity Risk

Coal and other bulk commodities accounted for ~63% of the Company's procurement expenditure. During FY2025-26, the global demand for steel and its vital raw material viz. metallurgical coal, iron ore and natural gases. This was influenced by reduced import volumes from key consuming markets, a tempered growth in steel production, and augmented supply originating from nations like China and Indonesia. Ongoing trade tensions and sanctions involving major global players such as the USA, China, Canada, Europe, and Russia introduced market volatility and periodically impacted supply availability. While, Chinese steel prices experienced continued softening, iron ore prices remained stable, receiving minimal uplift from typical seasonal weather-related disruptions or inventory restocking efforts. At the end of FY2025-26, the escalating tensions and direct engagements in the Middle East, primarily involving Israel, Iran, and the USA, posed a significant and immediate threat to global commodity markets. The primary concern is the potential for severe disruption to critical shipping lanes, notably the Strait of Hormuz, and direct attacks on regional energy infrastructure.

The Company operates within a complex global risk landscape shaped by concentration in key raw material supply chains. Availability of several critical steelmaking inputs, including seaborne metallurgical coal and certain consumables, remains dependent on a limited number of geographies. This concentration increases exposure to supply disruptions arising from origin-specific challenges, including infrastructure limitations and force majeure events.

Supply chain reliability is also influenced by external factors such as extreme weather events and evolving geopolitical conditions, which can disrupt mining, transportation, and trade routes. In addition, shifts in domestic sourcing mechanisms and transportation dynamics may affect inventory management, particularly where regulatory or administrative restrictions are introduced with limited notice.

Pricing volatility presents another area of exposure, as global trends for steelmaking process consumables are significantly influenced by production and market sentiment in major manufacturing regions. While prices have remained relatively stable in recent periods, changes in demand, policy, or trade dynamics could lead to increased volatility.

The Company continues to navigate an evolving regulatory environment. Changes in trade regulations, statutory requirements, and sustainability standards across import and export markets require ongoing monitoring and adaptation to ensure supply continuity, operational resilience, and compliance.

The Middle East accounts for approximately 30% of global oil production, and the Strait of Hormuz is a chokepoint for one-fifth of global oil shipments. Recent escalations have driven Brent crude prices above \$100 per barrel, with peaks at \$120.

The Strait of Hormuz is crucial for LNG flows (one-fifth of global LNG), and recent attacks have led to a 17% reduction in Qatar's LNG export capacity. LPG also got severely affected with nearly 30% of global exports passing through the Strait of Hormuz. Price increases to the tune of 40% in LNG and 60% in LPG were observed during recent attacks. Price volatilities were similarly observed in other key commodities such as Ammonia, Fluxes (Limestone, Dolomite & Pyroxinite).

Mitigation Strategies

Over the long term, steel prices exhibit a strong correlation with underlying raw material costs. Movements in key inputs such as coal and iron ore are, over time, transmitted into steel prices, thereby providing a degree of natural economic hedging. Within the Tata Steel Group, a comprehensive suite of measures is implemented to proactively manage price volatility, enhance cost predictability, and strengthen resilience across the value chain.

A Group-wide smart hedging framework is deployed for key raw materials. Hedging is executed in financial markets to improve price certainty and to lock in spreads between purchased ore and confirmed steel orders, thereby improving margin stability and reducing exposure to adverse price movements.

Advanced commodity price forecasting tools are utilised to interpret market signals, anticipate price trends, and support data-driven procurement decisions. These insights enable the optimisation of purchase timing, contract structures, and inventory strategies to improve overall cost efficiency.

Reverse auctions are leveraged as a structured mechanism for efficient price discovery and competitive sourcing for commodities such as coal, ferro alloys, refractories, and other critical inputs.

A number of initiatives have been taken to diversify sourcing of coal from different countries apart from Australia. While Australia continues to be a geography of choice with availability of all grades of coals, zero import duty, relatively shorter voyage time for India etc, however, new sources have been developed in USA, Canada, Mozambique and Indonesia, with the objective of mitigating concentration risk and reducing over-dependence on specific regions and supplier bases, particularly in periods of elevated market uncertainty.

Potential sources in additional domestic geographies—such as Odisha and Chhattisgarh—are evaluated to enhance supply security for non-coking thermal coal. This assessment supports strategic optionality, strengthens procurement resilience, and reduces vulnerability to localised disruptions.

Indigenisation remains a key lever for de-risking the supply chain while enabling local suppliers and MSMEs to upgrade their technological and quality capabilities in and around Jharkhand and Odisha. Strengthening OEM facilities in India through collaboration and alternate product development continues to safeguard continuity against geo-political disruptions.

We have adopted the Sustainable procurement framework for bulk material wherein we are engaging with our suppliers to take initiatives in the areas of reduce, recycle, and reuse.

IX. Opportunities

Please refer to the section on 'Opportunities' under Strategic Roadmap forming part of this Integrated Report.

X. Internal Control Systems and its Adequacy

The Company has a robust Internal Financial Controls ('IFC') framework that aligns with its operational size, scale, and complexity. The Board of Directors holds the responsibility for ensuring that the IFC is adequate and operating effectively. This framework has been designed to provide reasonable assurance regarding the accuracy of financial and operational reporting, compliance with applicable laws, safeguarding of assets against unauthorised use, proper authorisation of transactions, and adherence to corporate policies. Furthermore, this internal control framework complies with the requirements set forth in the Companies Act, 2013.

Tata Steel has established Standard Operating Procedures (SOPs) and policies to guide its operations, with business leaders responsible for ensuring compliance. The Company employs continuous internal monitoring to identify risks promptly. Management has prioritised internal financial controls through IFC Standardisation and Rationalisation, streamlining control testing processes and enhancing automation. The focus has been majorly on automation of implemented controls. This approach has reduced manual intervention and improved data analysis through avoidance of biasedness, thereby aiding in increased effectiveness of IFC framework. With expansion and foray in new businesses in FY2025-26, the control library has grown to address these new business areas and their associated risks. To tackle these challenges, the Management has reassessed internal financial controls and updated the risk control matrix, ensuring a robust control ecosystem that aligns with best practices. This effort provides assurance of operational efficiency and timely detection of control lapses as Tata Steel navigates its growth initiatives. The Management aims at enhancing IFC maturity through adoption of automation & advanced analytics for control monitoring and conducting regular awareness sessions for the respective team.

The Management, along with statutory and internal auditors, has conducted thorough due diligence of the Company's control environment through comprehensive testing to ensure its effectiveness. The Company employs the SAP Governance, Risk, and Compliance Module and other IT platforms to maintain a robust IFC framework, governed by an Information Management Policy. The internal financial controls have been documented and integrated into business processes, and based on evaluations carried out during the year, the Company's IFC are adequate and operating effectively, with continuous improvements driven through automation, analytics and revealed no material weaknesses.

XI. Statutory Compliance

The Company has in place adequate systems and processes to ensure that it is in compliance with all the applicable laws. The Company Secretary and Chief Legal Officer is responsible for implementing the systems and processes for monitoring compliance with the applicable laws and for ensuring that the systems and processes are operating effectively. The Chief Executive Officer and Managing Director, places before the Board, at each meeting, a certificate of compliance with the applicable laws. The Company Secretary and Chief Legal Officer also confirms compliance with Company law, SEBI Regulations and other corporate laws applicable to the Company.

TAX TRANSPARENCY REPORT

Introduction

This Tax Transparency Report is a voluntary report which outlines our approach to tax, tax principles and governance and risk mitigation framework. It demonstrates our continued commitment to the early adoption of responsible tax behaviour and a strong focus on tax transparency in a rapidly evolving global tax landscape.

The report structure and the content are guided by the Global Reporting Initiative (GRI) 207 : Tax 2019, a guidance issued by the Global Sustainability Standards Board, tax principles as stated in B Team's Responsible Tax Principles and the Extractive Industries Transparency Initiative (EITI) document. It also addresses the disclosure requirements of Business Responsibility and Sustainability Reporting (BRSR). In line with S&P Global guidance for the Dow Jones Sustainability Index (DJSI), it also includes data from our Organisation for Economic Co-operation and Development (OECD) Country-by-Country Report (CbCR) for the countries where we have a taxable presence.

We trust this report will enable the stakeholders to form an informed view of our Tax Governance, Strategy and Contributions in a rapidly evolving global tax landscape.

Our Approach

Tax Governance

We comply fully with the spirit and letter of tax regulations in the countries where we operate. We place strong emphasis on maintaining robust tax controls at all levels of the organisation. Our approach ensures the timely payment of appropriate taxes in a responsible manner while complying with tax regulations.

Our governance framework ensures fairness and transparency in the management of the tax matters. Clear tax principles, well-defined strategy and integrity forms the bedrock of our governance framework.

We engage openly with stakeholders to build trust and reinforce our belief that tax is a vital contribution to society.

Experienced in-house tax teams especially in India, the UK and the Netherlands manage day-to-day tax

matters through robust internal controls and continuous capability enhancement.

We leverage advanced tax technology to streamline compliance, formulate strategy and mitigate tax risks across global operations.

We promote transparency through relevant tax disclosures that strengthen accountability and clarity on tax matters globally.

We have implemented OECD Pillar Two compliance processes, wherever required and continue to monitor their adoption into local legislation.

Tax Strategy

Tata Steel adopts approach to taxation, with a clear commitment to paying the right amount of tax, at the right time, in each jurisdiction. Our tax positions align with genuine business substance and long term value creation and avoid aggressive planning or artificial structures, in line with OECD Base Erosion and Profit Shifting (BEPS) principles.

Tata Steel hosts its Tax Strategy on its website www.tatasteel.com, reflecting tax principles grounded in the Tata Code of Conduct (TCoC) and our commitment to ethical tax governance. Where required, the Tax Strategies of Tata Steel Nederland, Tata Steel UK and Tata Steel Minerals Canada are approved by the Boards of the respective companies and disclosed publicly.

Tax Principles

Our tax principles are guided by the TCoC and reflects our commitment to ethical tax governance.

> Compliance

To maintain integrity in compliance and reporting and to pay the right amount of tax at the right time in all countries where we operate.

> Business Substance

To align our business structure with the substance of the economic and commercial activity undertaken within the boundaries of the applicable laws of the land in which we operate.

› **Transparency**

To provide detailed information and disclosures to our stakeholders in order to foster deeper understanding of our approach to tax and tax contributions aligned with value creation, while ensuring proactive, transparent and professional relationships with industry, governments and tax authorities.

› **Accountability and Governance**

To ensure all tax decisions are guided by applicable laws of countries where we operate, with its implementation being governed through a stringent accountability matrix.

› **Enhancing Capabilities**

To enable and enhance the capabilities of our people, promoting excellence and thereby maximising operational efficiencies.

› **Effective Tax Systems**

To maintain a robust risk based framework that identifies, assesses and manages tax risks using available resources, technology and tax governance structure.

› **Enhancing Shareholder's Value**

To operate on a growth paradigm having a primary interest of shareholder's value creation while complying with all jurisdictional regulations and availing tax incentives and credits, as per legislation.

Tax Risk Management and Mitigation Strategies

Tata Steel operates within an Enterprise Risk Management (ERM) framework for proactive identification and management of business risks, including tax risks associated with its operations.

› **Continuous Risk Assessment**

With global operations, Tata Steel faces tax risks arising from evolving tax regulations and complex compliance requirements.

The Company applies professional judgement to evaluate tax implications and arrive at well reasoned conclusions.

Risks are mitigated through regular discussions, advance planning, adoption of enabling technology, development of resources and obtaining necessary approvals from tax authorities wherever possible.

› **Robust Self Assessment**

Significant tax risk areas are identified and communicated by function-level tax teams to relevant boards at

country or Tata Steel Group-level and periodic review mechanisms are put in place.

Based on this assessment, appropriate tax policies and guidance are issued to influence organisational behaviour and minimise risk exposure.

› **Resource Stewardship**

Tax policy is embedded across the supply chain, extending to employees, associates and third parties.

All stakeholders are expected to understand and adhere to tax policies and follow the TCoC.

Expert advice from qualified professionals is proactively sought in cases involving complex or ambiguous tax laws to ensure clarity and compliance.

› **Industry Benchmarking**

The Company actively monitors industry trends and peer practices to benchmark compliance and transparency standards.

Processes and policies are aligned with evolving regulations.

Strong governance values and the TCoC ensure seamless and principled transitions.

Related Party Transactions

All related party transactions are governed by a strong foundation of transparency, accountability and alignment with international best practices. Guided by the OECD Transfer Pricing Guidelines and local regulatory requirements, our related party transaction policy mandates adherence to arm's length pricing.

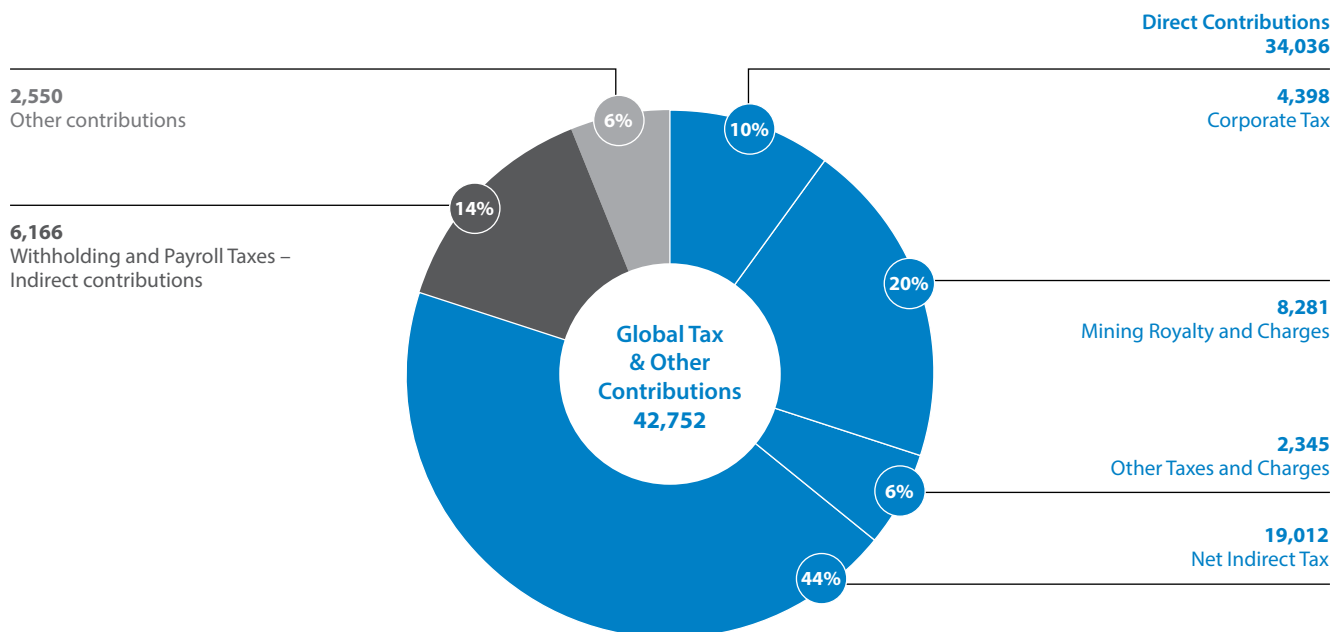
Global Tax and Other Contributions

The preceding sections of this report outlines Tata Steel's Tax Governance framework and Tax Principles. Building on this context, the following section presents a summary of the global tax and other contributions made by Tata Steel and its group companies, both directly and indirectly, to governments and public institutions.

Direct contributions comprise taxes and levies paid by the Company in return for the right to operate and access public resources. These include net indirect taxes, corporate income tax, mining royalties and other statutory taxes and charges. Indirect contributions represent amounts collected and remitted by the Company on behalf of other stakeholders, such as withholding taxes and payroll related taxes. Other contributions refer to statutory, non tax payments made by the Company, including employer contributions to social security schemes, such as provident funds.

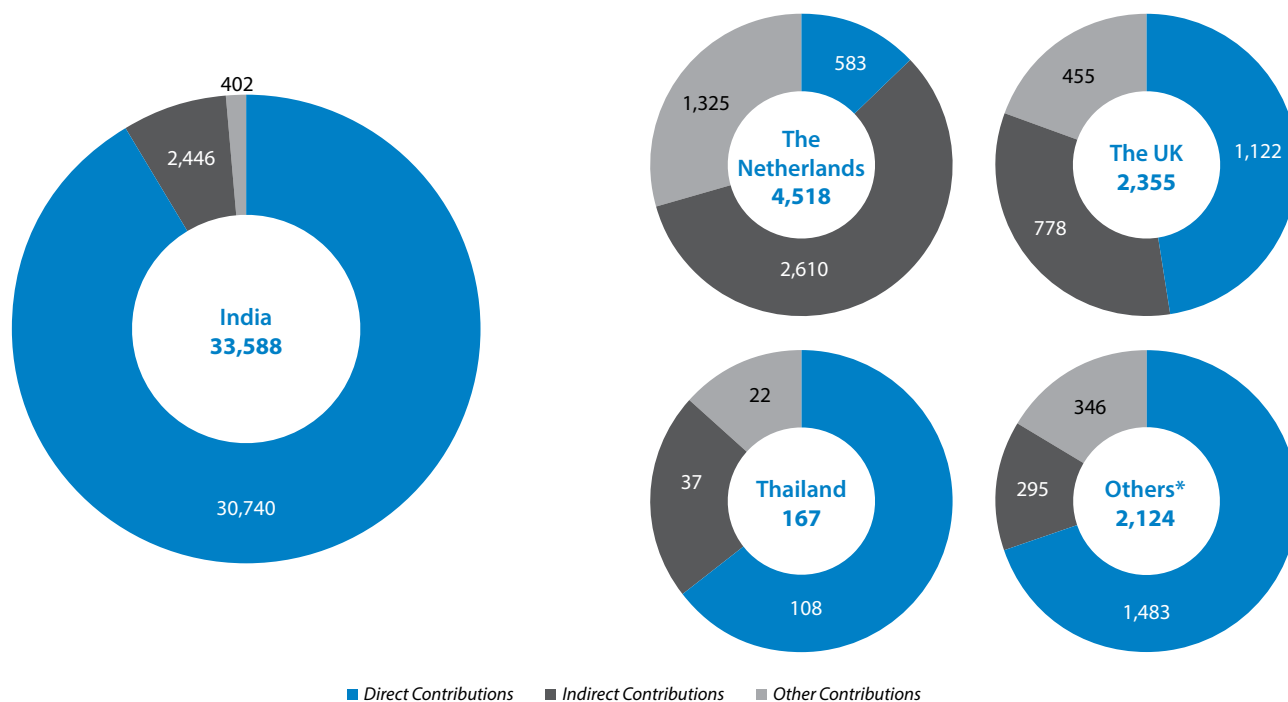
Global Tax and Other Contributions – FY2025-26

(₹ crore)



Major Country wise Contributions – FY2025-26

(₹ crore)



* Belgium, Brazil, Canada, China, Czech Republic, Finland, France, Germany, Ireland, Italy, Mauritius, Mexico, Norway, Poland, Romania, Singapore, Spain, Sweden, Switzerland, United Arab Emirates and United States of America.